

FONDAMENTALS OF CONTROLLING



CONCEPT OF CONTROLLING



Controlling

- ▶ A process of monitoring performance and taking action to ensure desired results.
- ▶ It sees to it that the right things happen, in the right ways, and at the right time.



Definitions of controlling

- ▶ According to Henri Fayol

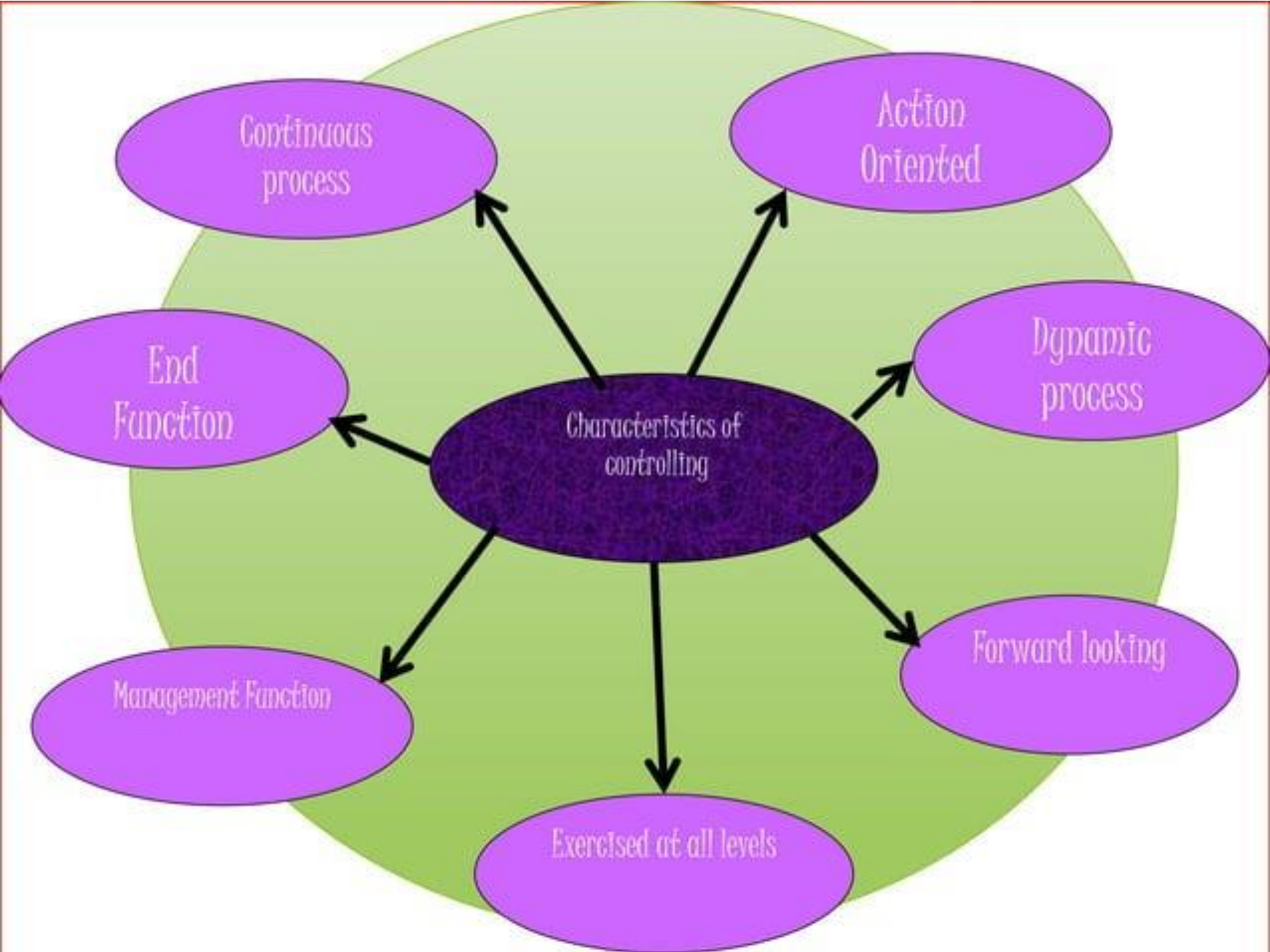
Control of an undertaking consists of seeing that everything is being carried out in accordance with the plan which has been adopted, the orders which have been given, and the principles which have been laid down. Its object is to point out mistakes in order that they may be rectified and prevented from recurring.

- ▶ According to Harold Koontz

Controlling is the measurement and correction of performance in order to make sure that enterprise objectives and the plans devised to attain them are accomplished.

- ▶ According to EFL Breach

Control is checking current performance against pre-determined standards contained in the plans, with a view to ensure adequate progress and satisfactory performance



FEATURES OF CONTROLLING

- ▶ Control is forward looking :

One can control future happenings and not the past.
Managers suggest corrective actions for the future period.

- ▶ Control is both an executive process and a result :

- Each manager has to perform control function in the organization.
- Nature, scope and limit of the control function may be different for different managers.
- The word 'control ' is preceded by an adjective to designate control problem : quality control, inventory control, production control, administrative control etc.

- ▶ Control is a continuous process :

Managerial control follows a definite pattern and time table, month after month and year after year on a continuous basis.

- ▶ A control system is a coordinated - integrated system :

- Data collected for different purposes should be reconciled with one another.
- Control is a single system, but more accurate to think of it as a set of interlocking subsystems.

IMPORTANCE OF CONTROL

- ▶ Adjustment in operations :
 - Objectives – basis of control.
 - Adjustment done through control.

- ▶ Policy verification :
 - Policies generate the need for control.
 - Managers set certain policies which become the basis and reason for control.
 - Verify the quality of policies.

► Managerial responsibility :

- Managerial responsibility – created through assignment of activities to various individuals.
- Starts at the top level and goes down to the bottom level.
- Manager is responsible for the ultimate performance of his subordinates.

► Psychological pressure :

- Psychological pressure on individuals to perform better.
- Rewards and punishment based on the performances.

► Coordination in action :

- Coordination is achieved through proper performance.
- Manager coordinates the activities of his subordinates to achieve the organizational goals.

► Organizational efficiency and effectiveness :

- Proper control ensures organizational efficiency and effectiveness.
- Control system – brings the organization closer to its objectives.

Process of Controlling

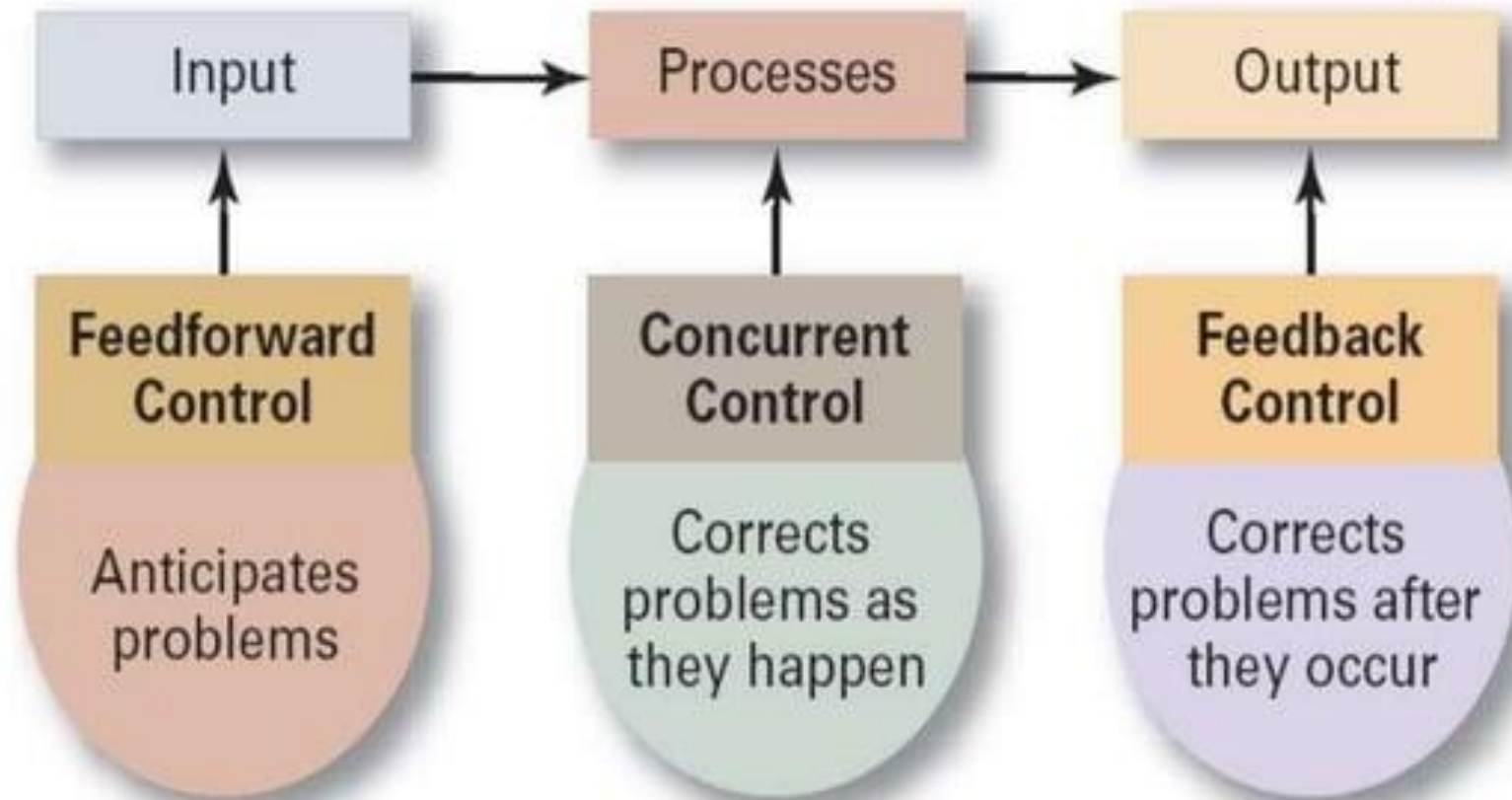
Establishing Control Standards

Measurement of Performance

Comparing Actual with Standard

Correction of Deviation

Types of Control



Feed Forward Control

- ▶ Also called preliminary or preventive controls, attempt to identify and prevent deviations in the standards before they occur.
- ▶ Feed forward controls focus on human, material, and financial resources within the organization.
- ▶ These controls are evident in the selection and hiring of new employees.

Concurrent Control

- ▶ Monitor ongoing employee activity to ensure consistency with quality standards.
- ▶ These controls rely on performance standards, rules, and regulations for guiding employee tasks and behaviors.
- ▶ Their purpose is to ensure that work activities produce the desired results.

Feed Back Control

- ▶ Control takes place when the work is performed.
- ▶ It involve reviewing information to determine whether performance meets established standards.

STEPS IN CONTROLLING

- ▶ Control is reciprocally related to planning :
 - Draws attention to situations where new planning is needed.
 - Provides data upon which plans can be based.
- ▶ Various steps in control process which are necessary in its relationship to planning :
 - Establishment of control standards.
 - Measurement of performance.
 - Comparison between performance and standards and the communication.
 - Correction of deviation from the standards.

1. ESTABLISHMENT OF CONTROL STANDARDS

- ▶ Plans - **goals, objectives, targets to be achieved.** Actual results are measured against them.
- ▶ Precision :
 - **Great precision** - Standards are set in quantities.
E.g. Physical - Volume of products, man hour.
Monetary - Costs, revenues, investment.
 - **Less precision** - Standards are in qualitative terms.
E.g. Human relations.
- ▶ It is also important to decide the level of achievement which will be regarded as good or satisfactory.
- ▶ Desired level of performance - **reasonable , feasible**, some amount of **flexibility** , stated in terms of **range** (maximum and minimum).

2. MEASUREMENT OF PERFORMANCE

- ▶ Involves measuring the performance in the work in terms of control standards.
- ▶ Methods of measuring performance :
 - Quantitative – Physical and monetary terms, easily and precisely measurable.
E.g. Production units, sales, volume, profits etc.
 - Qualitative – Intangible, cannot be measured precisely.
E.g. Human relations etc.
Techniques – Psychological tests, opinion surveys.
- ▶ Measurement must be (i) clear, simple and rational, (ii) relevant, (iii) direct attention and efforts, (iv) reliable, self announcing, and understandable without complicated interpretation or philosophical discussions.

3. COMPARING ACTUAL AND STANDARD PERFORMANCE

- ▶ Steps :
 - Finding out the extent of deviations.
 - Identifying the causes of such deviations.
- ▶ Accurate standards and accurate measurement of actual performance are very important for clear revelation of variations.
- ▶ Required standards achieved :
 - No further managerial action is necessary.
 - Control process is complete.
- ▶ Required standards not achieved :
 - Extent of variation may differ from case to case, depends upon the type of activity.

- Strict compliance with standards or permissible limit of variation.
- E.g. Engineering products – a very minute variation may be significant.
- ▶ When the deviation between standard and actual performance is beyond the prescribed limit, an analysis is made of the causes of such deviation.
- ▶ Controllable factors – Person concerned will take necessary corrective action.
- ▶ Uncontrollable factors – Person concerned cannot be held responsible.
- ▶ Communication of data to the person who can take corrective action.

4. CORRECTION OF DEVIATIONS

- ▶ Organization is not a self – regulating system.
- ▶ Actions should be taken to maintain the desired degree of control in the system or operation.
- ▶ Control actions :
 - Review of plans and goals and change therein on the basis of such review.
 - Change in the assignment of tasks.
 - Change in existing techniques of direction.
 - Change in the organization structure.
 - Provision for new facilities.

Planning-Controlling Link



